



---

# ENTREPRENUERSHIP SKILLS AND BUSINESS ALIGNMENT

---



***Getting it right in starting a Business, Building & Actualising Business, Managing Business  
and Business Sustainability***

## FACILITATOR MANUAL



Prepared by CPA Ruth Kinyanjui  
©2025

## Table of Contents

|                                                      |           |
|------------------------------------------------------|-----------|
| <b>OVERVIEW .....</b>                                | <b>2</b>  |
| <b>1.0 STARTING A BUSINESS .....</b>                 | <b>3</b>  |
| 1.1 Ideation .....                                   | 3         |
| 1.2 Business plan .....                              | 4         |
| 1.3 Business Structures .....                        | 6         |
| 1.4 Financial statements.....                        | 8         |
| <b>2.0 BUILDING &amp; ACTUALISING BUSINESS .....</b> | <b>12</b> |
| 2.1 Premises .....                                   | 12        |
| 2.2 Capital (sources of financing) .....             | 15        |
| 2.3 Skills & Labour .....                            | 17        |
| 2.4 Licencing.....                                   | 19        |
| <b>3.0 BUSINESS MANAGEMENT .....</b>                 | <b>22</b> |
| 3.1 Strategic Planning .....                         | 22        |
| 3.2 Financial Management.....                        | 22        |
| 3.3 Marketing and Sales.....                         | 28        |
| 3.4 Operations Management .....                      | 28        |
| 3.5 Human Resources .....                            | 28        |
| 3.6 Technology and equipment.....                    | 28        |
| 3.7 Communication .....                              | 29        |
| 3.8 Business Intelligence .....                      | 29        |
| 3.9 Basic Risk & Crisis Management.....              | 30        |
| <b>4.0 BUSINESS SUSTAINABILITY .....</b>             | <b>30</b> |

## OVERVIEW

The overall objective of this manual is to equip participants with the basic concepts of entrepreneurship and knowledge of business planning essential to the success of starting and running a business.

Specifically, this manual is designed to help participants:

- Learn how to generate, identify and select business ideas; prepare comprehensive business plan tailored to each individual's entrepreneurial needs; fitting the business plan into the appropriate business structure by type and size; and understanding the basic financial statements that are essential for a start-up business.
- Learn how to actualize the business by identifying the suitable choice of business premises; identify alternative ways of sourcing for capital to finance the business; understand the process of identifying and sourcing for the right mix of skills and labour; and understand the various permits and licences essential for compliance with the legal and regulatory framework.
- Learn the various disciplines employed by entrepreneurs to ensure business success, collectively referred to as business management and the importance.
- Learn insights into how business improvement and sustainability can be achieved while balancing both consumer demands and employee needs.

The learning content is not passed on from the trainer to the participants in a one-way communication with trainees only listening. Instead, participants are encouraged to discover learning contents themselves in an active process. Regardless of the level of formal education, each participant has a valuable contribution to make and therefore all are encouraged to be active partners in the learning process.

Participants are encouraged to exploit additional entrepreneurship related information available using all possible resources more so, surfing the Internet which is a very important tool for finding all kinds of information.

## 1.0 STARTING A BUSINESS

- 📌 Have you ever tried to start a business?
- 📌 What obstacles/challenges did you face?

**A business** is an economic activity that involves the exchange, purchase, sale, or creation of goods and services with the goal of profit and customer satisfaction.

**An entrepreneur** is an individual who has the ability to identify and pursue a business opportunity; undertakes a business venture; raises the capital to finance it; gathers the necessary physical, financial and human resources needed to operate the business venture; sets goals for him/herself and others; initiates appropriate action to ensure success; and assumes all or a major portion of the risk.

**Entrepreneurship** is the art of identifying viable business opportunities and mobilising resources to convert those opportunities into a successful enterprise through creativity, innovation, risk-taking and progressive imagination.

### 1.1 Ideation

Define your business idea.

Every business is born from an idea. A successful business starts with a good business idea. Business ideas should come from observation, to find a potential opportunity, or try to forecast what people or other businesses might want. Business ideas can come from many sources, including personal interests, problems, and market gaps. You can also get ideas from media, friends and family, and brainstorming sessions.

Generate, develop, and evaluate ideas for launching innovative and viable new ventures. The intention of Start-up Ideation is to provide entrepreneurs with the chance to identify possible opportunities for their entrepreneurial pursuit.

- Identify a market need,
- Define the target market (identify the customers who need the product or service and analyse their needs and preferences),
- Identify market gaps that the start-up intends to fill,
- Evaluate the business idea through SWOT analysis
  - i). Pay attention to the very important strengths, weaknesses, opportunities and threats that could have a strong effect on your business.
  - ii). Think how the strengths and opportunities identified could develop your business better and quicker in terms of clients, turnover and profit. But also think about how weaknesses and threats could lead to too big a risk or actual loss of the business.
  - iii). Compare your business idea with what potential competitors are doing. How are they dealing with their opportunities, threats, strengths and weaknesses? How could you do better?
  - iv). Fill in your business idea form with: name of the business; type of business you will run; what the business will supply; who its customers will be; how

the business will satisfy their needs; how the business will reach the customers.

✚ Have you identified a market gap? Is your business idea solving a problem?

✚ Generate/develop a business idea and evaluate it through SWOT analysis

- Develop a business plan.

## 1.2 Business plan

Outlines the start-up's goals, strategies, and operational procedures

A business plan helps you to:

- **Decide** if you should start your business or not;
- **Organize** your ideas so that you will know how to start and run your business in the best way;
- **Present** your business plan to a lending institution such as a bank for obtaining financing for your business.

### BUSINESS PLAN OUTLINE

The outline below offers a brief overview of what each section of your business plan should cover. It is not a definitive guide, as you may wish to expand or combine sections, or add extra detail in a way that is customized to your particular venture. Keep in mind the idea is to present your venture in the most attractive and professional way possible.

|       |                               |
|-------|-------------------------------|
| I.    | Executive Summary             |
| II.   | Business Description          |
| III.  | Market Analysis               |
| IV.   | Competitive Analysis          |
| V.    | Sales and Marketing plan      |
| VI.   | Ownership and Management Plan |
| VII.  | Operating Plan                |
| VIII. | Financial Plan                |
| IX.   | Appendices and Exhibits       |

#### i). Executive Summary

Though it appears first in the business plan, the executive summary is a section that is usually written last, as it compresses the entire plan. It provides an introduction and high-level overview of your business, including your mission statement and details about what product(s) and/or service(s) you offer.

Since the executive summary is your business's first impression, it's critical that it be outstanding, especially if you're seeking funding.

#### ii). Business Description

Provide information about the business you're starting, including what sort of problem your products/services solve and your most likely buyers. You can also expand this description by offering an overview of the industry that your business will be a part of, including trends, major players, and estimated sales. This section should give a positive perspective on your place within the industry. Set your business apart from the competition by describing your or your team's expertise, as well as your competitive advantage.

iii). Market Analysis

The market analysis is a crucial section of the business plan, as it identifies your best customers or clients. To create a compelling market analysis, thoroughly research the primary target market for your products/services, including geographic location, demographics, your target market's needs, and how these needs are currently being met. Your purpose here is to demonstrate that you have a solid and thorough understanding of the people you are planning to sell your products/services to so that you can make informed predictions about how much they might buy, and convince other interested parties.

iv). Competitive Analysis

In preparing to write the competitive analysis section, you'll learn how successful your direct and indirect competitors are in the marketplace. This section of your business plan includes an assessment of your competition's strengths and weaknesses, any advantages they may have, and the unique qualities that make your business stand out from the competition. It also includes an analysis of how you will overcome any barriers to entry in your chosen market.

The primary goal here is to distinguish your business from the competition, but a strong competitive analysis will be able to persuade potential funding sources that your business can compete in the marketplace successfully. A useful tool to help articulate this section of the plan is sometimes referred to as a SWOT analysis, or a "Strengths, Weaknesses, Opportunities, and Threats" assessment.

v). Sales and Marketing Plan

The sales and marketing section offers a detailed explanation of your sales strategy, pricing plan, proposed advertising and promotion activities, and all the benefits of your products/services. This is where to outline your business's unique selling proposition, describe how you plan to get your products/services to market, and how you'll persuade people to buy them.

When developing your unique selling proposition, your goal is to answer the question: Why should people buy from me over my competition?

vi). Ownership and Management Plan

This section outlines your business's legal structure and management resources, including the internal management team, external management resources, and human resources needs. Include any experience or special skills that each person in

your management team brings to the business. If the goal of your business plan is to get funding, it's wise to include an advisory board as a management resource.

vii). **Operating Plan**

The operating plan offers detailed information about how your business will be run. It provides your business's physical location, descriptions of facilities and equipment, types of employees needed, inventory requirements, suppliers, and any other applicable operating details that pertain to your precise type of business, such as a description of the manufacturing process, or specialty items needed in day-to-day operations.

viii). **Financial Plan**

Starting a business is usually about making a profit, so it's important to demonstrate that you have a solid sense of your current finances, funding needs, as well as projected income. In the financial section, provide a description of your funding requirements, your detailed financial statements, and a financial statement analysis. This part of the business plan is where you present the three main financial documents of any business: the balance sheet, the income statement, and the cash flow statement, or in the case of a new business, a cash flow projection.

ix). **Appendices and Exhibits**

In addition to the sections outlined above, at the end of your business plan, include any additional information that will help establish the credibility of your business idea, or bolster your potential success. You may choose to include marketing studies, photographs of your product, permits, patents and other intellectual property rights, credit histories, résumés, marketing materials, and any contracts or other legal agreements pertinent to your business.

 **Prepare a Business plan based on the business idea you developed above.**

### **1.3 Business Structures**

Choosing a business structure is the foundational step for any entrepreneur. Each option offers distinct advantages and comes with its own set of legal implications. Let's explore the most common types:

#### **A) By type**

i). **Sole Proprietorship:**

This is a simple setup with just one owner. You'll enjoy easy management, but there's no separation between your personal and business finances. This means you're personally liable for any debts or lawsuits.

ii). **Limited Liability Company (LLC):**

This hybrid combines a partnership's flexibility with a corporation's liability protection. LLC profits pass through to the owners' tax returns (like a partnership), but the owners' personal assets are protected from business debts (like a corporation).

iii). **Partnership:**

In partnership, the business owner teams up with one or more business entities to share the workload, skills, and profits. Profits and losses pass through to each partner's personal tax return. Similar to a sole proprietorship, partners hold personal liability for the business.

General Partnerships (GP) offer the simplest structure for starting a business with two or more individuals. Partners share ownership, profits, and losses equally and are all personally liable for the business's debts. This means their personal assets, like savings or homes, could be used to cover business obligations if necessary. While straightforward to set up, the unlimited liability aspect can be a significant risk factor for partners.

iv). **Limited Liability Partnerships:**

Also referred to as (LLPs), they balance flexibility and protection. Similar to GPs, partners manage the business and share profits and losses. However, LLPs offer limited liability protection, shielding partners' personal assets from business debts unless they personally guarantee them. This structure allows for more flexibility in defining profit-sharing and decision-making roles among partners compared to traditional corporations.

v). **Limited Partnerships:**

This type of partnership caters to scenarios where investors seek involvement without full management responsibility. LPs have two partner classes: general partners who manage the business with unlimited liability and limited partners who contribute capital but have limited involvement and liability. This structure is often used to attract investors who want to participate in potential profits without risking their personal assets beyond their initial investment.

vi). **Corporation:**

This structure creates a separate legal entity from its owners (shareholders). Shareholders invest and own portions of the company (stock), but their personal assets are shielded from business liabilities. While corporations offer limited liability, they face double taxation, meaning profits are taxed at the corporate level and again when distributed to shareholders as dividends.

**B) By Size**

- i). **Small Business:** Small scale industries or small businesses are those that produce goods and services on a small scale. All the management works are controlled by the owner or owners and are usually labour intensive. The reach is mostly limited such as a local shop, restaurant, or industry located in one area.
- ii). **Medium-sized Business:** A medium-size business is an enterprise that is bigger than a small firm but not significant enough to qualify as a large enterprise. To be eligible as a medium-size business, a corporation must meet specified revenue, or total annual income, requirements and have a specific number of employees. *(Check BR & KRA thresholds)*

- iii). **Large Enterprises:** This business category has large operations and high economies of scale. They have a sizeable employee base and workforce, and generate huge amounts of revenue. They may target national or even international markets.
- iv). **Business Industries:** Businesses can operate in a variety of industries. The specific industry can be used by a corporation to describe its operations. For example, the real estate business, advertising business, or mattress production business are examples of industries.

Complying with legal and regulatory requirements is crucial to operating your business smoothly. Consult with legal professionals to understand the necessary licenses, permits, registrations, and any specific industry regulations applicable to your business. Based on your particular needs, consider forming the appropriate legal structure.

Common business structures in Kenya: Sole proprietor, Partnership, Private Company, Public Company, Unlimited Company, Limited company, Limited by shares, Limited by guarantee.

Requirements for starting a business: Incorporation; Memorandum, Articles, Company registration CR1, Particulars of directors share CR1, notification of Directors' residential address CR8, Application for company name reservation CR14, statement of nominal capital, Tax PIN certificates etc.

## 1.4 Financial statements

A financial statement for start-ups is a collection of key documents that enables you, your lenders, and your investors to better understand the financial health of your company. Understanding the various types of financial statements is crucial for start-ups, as these documents provide insights into a business's financial health and operational efficiency.

Financial statements highlight things like revenue, income, profit, financial obligations, and the flow of cash through a business and are typically issued on a monthly, quarterly, semi-annual, or annual timeline. A financial statement is broken into four parts:

### i). **Balance sheet**

The balance sheet, often called the statement of financial position, provides a snapshot of a start-up's financial standing at a particular time. It outlines the company's assets, liabilities, and equity, offering a clear view of what it owns and owes and the invested capital. A well-prepared balance sheet is essential for securing funding from investors, as it demonstrates the company's financial stability and creditworthiness.

### **Assets = Liabilities + Equity**

The most common high-level accounts found on the balance sheet include:

- **Assets**
  - Cash
  - Accounts Receivable
  - Inventory
  - Prepaid Expenses
  - Investments
  - Buildings / land
  - Machinery / equipment
  - Intangible assets (patents, trademarks, goodwill)
- **Liabilities**
  - Accounts Payable
  - Wages Payable
  - Loans Payable (Principal & Interest)
  - Bonds Payable (Principal & Interest)
- **Equity**
  - Capital (shareholders' and/or owners' equity)
  - Retained earnings

| <b>BALANCE SHEET</b>                      | <b>20X4</b>   | <b>20X5</b>   | <b>20X6</b>   | <b>20X7</b>   | <b>20X8</b>   |
|-------------------------------------------|---------------|---------------|---------------|---------------|---------------|
| <b>Current Assets</b>                     |               |               |               |               |               |
| Cash                                      | 2,000         | 2,007         | 3,503         | 5,147         | 7,001         |
| Accounts Receivable                       | 8,852         | 9,737         | 10,711        | 11,782        | 12,960        |
| Inventory                                 | 5,700         | 6,270         | 6,897         | 7,587         | 8,345         |
| Prepaid Expenses                          | 1,849         | 1,849         | 1,849         | 1,849         | 1,849         |
| <b>Total Current Assets</b>               | <b>18,401</b> | <b>19,864</b> | <b>22,960</b> | <b>26,365</b> | <b>30,156</b> |
| <b>Fixed Assets</b>                       |               |               |               |               |               |
| PP&E, Net of Accum. Depreciation          | 10,932        | 11,153        | 11,546        | 12,078        | 12,714        |
| <b>TOTAL ASSETS</b>                       | <b>29,333</b> | <b>31,016</b> | <b>34,506</b> | <b>38,443</b> | <b>42,869</b> |
| <b>Current Liabilities</b>                |               |               |               |               |               |
| Accounts Payable                          | 6,656         | 7,322         | 8,054         | 8,859         | 9,745         |
| Line of Credit                            | 1,375         | 0             | 0             | 0             | 0             |
| Current Maturities of Long Term Debt      | 500           | 500           | 500           | 500           | 500           |
| <b>Total Current Liabilities</b>          | <b>8,531</b>  | <b>7,822</b>  | <b>8,554</b>  | <b>9,359</b>  | <b>10,245</b> |
| <b>Long Term Liabilities</b>              |               |               |               |               |               |
| Long Term Debt, Net of Current Maturities | 4,500         | 4,000         | 3,500         | 3,000         | 2,500         |
| <b>TOTAL LIABILITIES</b>                  | <b>13,031</b> | <b>11,822</b> | <b>12,054</b> | <b>12,359</b> | <b>12,745</b> |
| Common Stock                              | 15            | 15            | 15            | 15            | 15            |
| Additional Paid In Capital                | 5,000         | 5,000         | 5,000         | 5,000         | 5,000         |
| Retained Earnings                         | 11,287        | 14,180        | 17,438        | 21,069        | 25,109        |
| <b>TOTAL EQUITY</b>                       | <b>16,302</b> | <b>19,195</b> | <b>22,453</b> | <b>26,084</b> | <b>30,124</b> |
| <b>TOTAL LIABILITIES &amp; EQUITY</b>     | <b>29,333</b> | <b>31,016</b> | <b>34,506</b> | <b>38,443</b> | <b>42,869</b> |

## ii). Income statement

The income statement, the profit and loss statement, provides a detailed account of a start-up's revenues and expenses over a specific period. This statement is crucial for understanding the company's profitability and operational efficiency. It helps identify revenue trends, cost management effectiveness, and potential areas for financial improvement. For start-ups, a clear income statement can attract potential investors by showcasing the company's growth potential and profitability.

Understanding your income statement is crucial to your business's financial health. The income statement provides a snapshot of your company's profitability over a specific period, detailing how revenue is transformed into net income.

### **Revenues – Expenses = Net Income (Loss)**

The most common high-level accounts found on the income statement include:

- **Revenue**
  - Operating Revenue i.e., Product or Service Sales minus discounts and/or returns
  - Non-Operating Revenue i.e., Interest Income, Dividends, Commissions, Gains
- **Expenses**
  - Cost of Goods Sold i.e., Cost of Goods Purchased and Sold, Cost of Goods Manufactured and Sold
  - Operating Expenses i.e., Selling, General, and Administrative (SG&A)
  - Non-Operating Expenses i.e., Donations, Fines, Interest, Taxes, Losses

| ABC ENTREPRISES                | Historical    | Projected     | Projected      | Projected      | Projected      |
|--------------------------------|---------------|---------------|----------------|----------------|----------------|
| INCOME STATEMENT               | 20X4          | 20X5          | 20X6           | 20X7           | 20X8           |
| <b>Revenue</b>                 | <b>83,492</b> | <b>91,841</b> | <b>101,025</b> | <b>111,128</b> | <b>122,241</b> |
| Growth (%)                     | N/A           | 10.0%         | 10.0%          | 10.0%          | 10.0%          |
| Cost of Goods Sold             | 72,524        | 79,776        | 87,754         | 96,529         | 106,182        |
| % of Sales                     | 86.9%         | 86.9%         | 86.9%          | 86.9%          | 86.9%          |
| <b>Gross Profit</b>            | <b>10,968</b> | <b>12,065</b> | <b>13,271</b>  | <b>14,598</b>  | <b>16,058</b>  |
| % of Sales                     | 13.1%         | 13.1%         | 13.1%          | 13.1%          | 13.1%          |
| Operating Expenses (SG&A)      | 6,545         | 7,200         | 7,919          | 8,711          | 9,583          |
| % of Sales                     | 7.8%          | 7.8%          | 7.8%           | 7.8%           | 7.8%           |
| <b>Operating Income (EBIT)</b> | <b>4,423</b>  | <b>4,865</b>  | <b>5,352</b>   | <b>5,887</b>   | <b>6,476</b>   |
| Interest Expense               | 474           | 414           | 340            | 300            | 260            |
| <b>Pre-tax Income</b>          | <b>3,949</b>  | <b>4,451</b>  | <b>5,012</b>   | <b>5,587</b>   | <b>6,216</b>   |
| Income Tax Expense             | 1,382         | 1,558         | 1,754          | 1,955          | 2,176          |
| Tax Rate                       | 35%           | 35%           | 35%            | 35%            | 35%            |
| <b>Net Income</b>              | <b>2,567</b>  | <b>2,893</b>  | <b>3,258</b>   | <b>3,632</b>   | <b>4,040</b>   |
| Operating Income (EBIT)        | 4,423         | 4,865         | 5,352          | 5,887          | 6,476          |
| Depreciation                   | 2,981         | 3,279         | 3,607          | 3,968          | 4,364          |
| Amortization                   | 0             | 0             | 0              | 0              | 0              |
| <b>EBITDA</b>                  | <b>7,404</b>  | <b>8,144</b>  | <b>8,959</b>   | <b>9,855</b>   | <b>10,840</b>  |

### iii). Cash flow statement

An analysis of cash and cash equivalents flowing in and out of your business. The cash flow statement is invaluable for managing a start-up's liquidity. This statement shows how cash is generated and used during the period, highlighting the company's ability to meet its short-term obligations. It consists of three main sections: operating activities statement, investing activities, and financing activities. For start-ups, maintaining a positive cash flow is critical for sustaining operations and demonstrating financial health to potential investors.

The most common high-level accounts found on the statement of cash flows include:

- Operating Activities Cash Flow
- Investing Activities Cash Flow
- Financing Activities Cash Flow

| CASH FLOW STATEMENT                                        | 20X4     | 20X5          | 20X6          | 20X7          | 20X8          |
|------------------------------------------------------------|----------|---------------|---------------|---------------|---------------|
| <b>CASH FLOW FROM OPERATING ACTIVITIES</b>                 |          |               |               |               |               |
| <b>Net Income</b>                                          | <b>0</b> | <b>2,893</b>  | <b>3,258</b>  | <b>3,632</b>  | <b>4,040</b>  |
| <b>Add Back Non-Cash Items</b>                             |          |               |               |               |               |
| Depreciation                                               | 0        | 3,279         | 3,607         | 3,968         | 4,364         |
| Amortization                                               | 0        | 0             | 0             | 0             | 0             |
| <b>Changes in Working Capital</b>                          |          |               |               |               |               |
| Accounts Receivable                                        | 0        | -885          | -974          | -1,071        | -1,178        |
| Inventory                                                  | 0        | -570          | -627          | -690          | -759          |
| Accounts Payable                                           | 0        | 666           | 732           | 805           | 886           |
| <b>Net Cash Provided by Operating Activities</b>           | <b>0</b> | <b>5,383</b>  | <b>5,996</b>  | <b>6,644</b>  | <b>7,354</b>  |
| <b>CASH FLOW FROM INVESTING ACTIVITIES</b>                 |          |               |               |               |               |
| Capital - Purchase of PP&E                                 | 0        | -3,500        | -4,000        | -4,500        | -5,000        |
| <b>Net Cash Used in Investing Activities</b>               | <b>0</b> | <b>-3,500</b> | <b>-4,000</b> | <b>-4,500</b> | <b>-5,000</b> |
| <b>CASH FLOW FROM FINANCING ACTIVITIES</b>                 |          |               |               |               |               |
| Revolving Credit Facility                                  | 0        | -1,375        | 0             | 0             | 0             |
| Long Term Debt                                             | 0        | -500          | -500          | -500          | -500          |
| <b>Net Cash Provided by (Used in) Financing Activities</b> | <b>0</b> | <b>-1,875</b> | <b>-500</b>   | <b>-500</b>   | <b>-500</b>   |
| <b>Net Cash Flow</b>                                       | <b>0</b> | <b>7</b>      | <b>1,496</b>  | <b>1,644</b>  | <b>1,854</b>  |
| Beginning Cash Balance                                     | 0        | 2,000         | 2,007         | 3,503         | 5,147         |
| <b>Ending Cash Balance</b>                                 | <b>0</b> | <b>2,007</b>  | <b>3,503</b>  | <b>5,147</b>  | <b>7,001</b>  |

## **2.0 BUILDING & ACTUALISING BUSINESS**

### **2.1 Premises**

Choosing the right premises for a business is an important decision to get right. Whether launching a start-up, relocating to a new site or area, or looking to expand your company, it's essential to spend time researching and searching for premises that check all of the boxes. The key factors to consider to help you make the right choice are outlined as follows:

#### **2.1.1 Nature of the business**

While selecting a location for your business, some of the most important determinants include the nature and type of your business and its operational needs. You will need to introspect on the overall activities of your business, its various offerings, goals, objectives and more. This initial step helps create an exhaustive list, comprising the qualification criteria for the right location.

Since what is essential to one business may be insignificant to another, it is vital to take the distinctive traits, priorities and unique operational style of your business into consideration while picking a location. Further, the brand image and visual style of your business will influence whether you choose to locate your business in an affluent area or an affordable one.

#### **2.1.2 Proximity to the market**

Deciding how close you wish to be to your clients or customers is an important factor, which can have a huge impact on the growth potential of your business. Retail businesses generally choose to be located in the vicinity of their customers as they sell their products or services directly to the end-users. Service businesses, on the other hand, have two options — ones like transport companies need to be located near their customers, whereas those that don't require direct interaction with customers, such as web design services, can choose to situate their offices anywhere.

Manufacturing businesses usually prioritise cheaper rents over being in close quarters with their customers. Given their transport network that enables efficient delivery of products, they can opt for far-flung locations. Another recent trend observed is that of organisations choosing remote locations or becoming completely digitally native. This allows them to tap into global markets and workforces without the need to have a physical location to conduct their business activities.

#### **2.1.3 Rent price and cost of utilities**

While picking the best location for your business, fixed and variable expenditures have to be taken into account as per your budget and estimated profit margin. Rent price is a fixed and recurring expenditure that will constitute a major chunk of your total expenses, whereas the cost of utilities, consisting of water, electricity, gas, telephone and Internet connectivity, is variable.

Before signing the rental papers, it is recommended to conduct a thorough research of the location and converse with other business owners in the locality chosen to

ensure that it is not afflicted with any deal-breaking problems. One must also bear in mind the hidden costs involved in choosing a business location such as the cost of renovations, property taxes, insurance fees, utility equipment maintenance and upgrades and parking fees that can all add up to a sizeable amount.

#### **2.1.4 Demographics**

Demographics refer to the data on the socio-economic characteristics of the population of a particular geographical location. It encompasses details such as age, gender, location, educational level, employment, level of income and homeownership. While choosing a business location, studying the demographics of the location will help identify a target market that will help build a robust customer base for your products and services.

By analysing the preferences and purchasing behaviour of your target customer group and selecting a location that is densely populated with it, you can ensure higher sales for your business. For example, if your business sells tech gadgets, picking a business area that is populated with a younger demographic rather than an older one will be favourable to your overall sales.

#### **2.1.5 Talent availability**

The employment conditions in each area will differ, depending on various demographic and economic factors. Since the availability of superior talent is one of the key drivers in decisions pertaining to business location, finding out about the existing talent supply in an area is important. Besides, getting a rough estimate on the number of people willing to move to the place where your business will be located can also help you gauge the recruitment efforts that will be involved in growing a qualified workforce.

#### **2.1.6 Competition**

With regard to competition, a business location can prove to be a double-edged sword. By locating your business in an area close to your competitors, you can either rake in your competitor's surplus customers or end up losing your customers to your competitors. Hence, the decision to locate your business near your competitors must be taken carefully.

Choosing a business location that your competition has not saturated is advised. You might find sparse competition in some locations, which may indicate low demand for your product or service. Ensuring that there is high demand for your product or service is essential before selecting a location that is the right fit for your business. An area that has a healthy level of competition is recommended as it will allow you to take advantage of the prevailing consumer demand.

#### **2.1.7 Infrastructure and accessibility**

Several older buildings may not have adequate infrastructure to serve the needs of the high-tech businesses of today. It is always a good idea to make sure that the building you choose has the necessary power, water supply, telecommunications, air-conditioning and road connections to meet your current and future infrastructure

requirements. An independent engineer can be hired to make an objective evaluation of the building infrastructure to suit your specific needs.

The availability of sufficient parking spaces for employees and accessibility provisions for persons with disabilities must be factored in while selecting a location. You must also take into consideration the amount of time it would take employees to commute to your business location, as traffic woes tend to be exhausting for employees. A location that is optimally located for both customers and employees, has minimal traffic and is well connected to public transportation systems is recommended.

#### **2.1.8 Government incentives**

The national and county governments offer businesses several incentives on the basis of their economic activity, industry and size. Businesses registered with the Kenya Investment Authority (KenInvest) become eligible for fiscal incentives such as cash grants, tax rebates, tax breaks and tax credits for locating their business in a specific area.

#### **2.1.9 Distribution network**

A distribution network refers to an intricately connected group of wholesalers, retailers, distributors, storage facilities and transportation systems that facilitates the receipt of goods for final delivery to customers. A distribution network that is well-organised, fast and reliable is a crucial lifeline that strives to meet the needs of customers and end-users instantly.

When identifying an ideal location for your business, it is important to ensure that it is in close proximity to your suppliers. Locating your business in an area with a robust distribution network minimises your logistics and transportation costs, thereby reducing your total cost of operations.

#### **2.1.10 Zoning or permit issues**

The business location selected by you will determine the taxes, zoning laws, permit compliances and regulations that your business will be subjected to. Hence, while making the strategic decision to locate your business within a particular municipal area, it is crucial to be cognisant of the zoning ordinances, licenses and permits for your chosen location.

Local governments, generally zone neighbourhoods for either commercial or residential use. When planning to buy or rent a building or construct one, you will have to ensure that your building conforms to the local zoning rules. You will also need to be mindful of restrictions and bans that prevent certain kinds of businesses from operating in particular areas. Comprehensive research and planning helps avoid any possible legal hassles with local authorities.

#### **2.1.11 Security**

While operating a business, feeling safe and protected is an often underestimated but crucial factor to be considered. Some businesses may require more elaborate security

arrangements than others. A jewellery store, for example, will need a building with a high-tech alarm system, whereas a restaurant can manage with a sturdy lock.

When you are comparing locations, it is advised to choose a building where the property owner allows you to install security cameras and security gates for the safety and security of your employees, customers and business equipment. The overall crime statistics of a locality should also be evaluated and the necessary precautions must be taken in case your business has inventory that is prone to burglary and theft. Further, if your business hours stretch late into the night, you must make arrangements to ensure that the safety of your employees isn't compromised.

## **2.2 Capital (sources of financing)**

📌 How do you finance a start-up?

📌 Can you start a business with the little you have?

### **2.2.1 Personal investment**

Personal investment is usually the first source of funds when starting a business. Using your own money means you won't have to apply for a loan or seek investments from people outside the company, which can take a long time. It also allows you to maintain control of your business and keep all the profits from your business activities.

If you decide to take out a loan to start your business, your financial institution will expect you to invest some of your money in the project or provide collateral. This demonstrates your long-term commitment to your project.

### **2.2.2 Love money**

Your spouse, parents, other family members or friends can lend you money. The repayment is flexible although unpredictable. Since there is no specific contract, the loan is often repaid based on the company's profits.

If thinking about borrowing money from friends and family, remember that they:

- rarely have much capital
- may want to hold equity in your business, which is not a good idea

### **2.2.3 Venture capital**

Venture Capitalists look to invest in companies with high-growth potential especially Technology-driven sectors such as information technology, communications and biotechnology.

This type of financing allows the business to grow quickly without using its cash to pay off debts.

Venture capitalists want to play an active role in the companies they finance therefore you will have to transfer part of your business to them. Their expectation is a good return on their investment.

If you go the venture capital route, consider investors who bring relevant experience and knowledge to your business.

Some examples of venture capitalists in Kenya include Chanzo Capital, Voltron Capital, Antler Kenya, and Afvest

#### **2.2.4 Financial angels**

Financial angels are generally wealthy individuals or retired business executives who invest in SMEs. They are particularly interested in companies in the early stages of development. The amount invested varies.

They are often leaders in their field. Your business will benefit from their:

- experience
- network of contacts
- technical knowledge
- management expertise

To reduce the risk of losing their investment, financial angels may reserve the right to:

- supervise the company's management practices
- sit on the board of directors
- require an assurance of transparency

Financial angels tend to keep a low profile. To meet them, you have to contact specialized associations or search the Internet.

#### **2.2.5 Business incubators**

Business incubators can support start-ups at various stages of development.

They generally focus on the high-tech sector. Incubator companies operate in cutting-edge sectors such as biotechnology, information technology, multimedia, or industrial technology. There are also local economic development incubators that support a wider variety of businesses since their focus is on job creation and regional revitalization. Think Nailab, Villgro Africa, Idea Incubator etc.

Incubators share space and administrative, logistical and technical resources. For example, an incubator can make its labs available to a new business. This will enable the company to develop and test its products at a lower cost before starting production.

Companies generally stay in an incubator for two years. When their product is ready, they leave the incubator to fly solo and produce it themselves. Thanks to the support they receive, they have a better five-year success rate.

#### **2.2.6 Business loans**

Bank financing through business loans is one of the main sources of financing for small and medium-sized businesses.

Not all commercial loans are equal. Lending institutions offer different advantages, such as personalized service, flexible repayment terms and varying interest rates. It's a good idea to shop around and find the lender that meets your specific needs.

In general, start-ups have a harder time accessing loans than established firms. Entrepreneurs with a solid business plan and a good credit rating are more likely to get loans. You need to show that you are determined and committed.

## **2.3 Skills & Labour**

### **How do you hire employees for a Start-up?**

Starting a new business can be overwhelming, but with the right team, it can be a rewarding experience. A start-up business requires the right mix of skills, experience, and creativity to get off the ground. If you are unsure where to start, consider the following tips:

#### **2.2.1 Create a Hiring Plan**

Identify the skill gaps and human capital needs that your organization has. You should also discuss the hiring process with your business partner to help you identify the position that needs hiring and the exact skillset you should seek in candidates.

Outline the skills, experience, and education required for the position. This includes hard and soft skills, relevant experience, and educational qualifications. Be specific about the job role and responsibilities in order to attract the right candidates.

#### **2.2.2 Set a Recruitment Budget**

Figure out how much it will cost to bring in new workers.

There are plenty of costs to consider. In particular, look out for job advertising costs, recruiter salaries, recruitment agency fees, and employee assessment costs. Getting a rough estimate of each can give you a budget to work with.

#### **2.2.3 Define which type of employee you want to hire**

The type of employee you hire will ultimately depend on your business type and the available position. Look for flexible, passionate, self-driven, and motivated candidates. These are the employees who will go the extra mile for your start-up.

Seek candidates that carry the potential to make an impact on your business. Of course, due to limited resources, you must be highly selective with the candidate you hire.

#### **2.2.4 Create an attractive Job description**

To attract the right fit for your job opening, make sure you have an attractive job description to share. The job description and graphics should reflect your brand personality. Make sure your job description is clear, concise and defines the exact expected roles and responsibilities.

Dedicate a short section to introduce your start-up, vision, and goals.

If you need help crafting a compelling job description, consider consulting with a pitch trainer who can help you communicate your organization's vision and goals effectively.

### **2.2.5 Source your candidates**

The next step is to actively search out candidates. There are many resources to explore; the most popular places to share your job opening post include LinkedIn and Glassdoor, along with other job posting sites.

Sometimes you can even find candidates close by. Be sure to ask around for referrals from your friends and colleagues. You can also use a specific recruitment agency to help find qualified candidates, but you will need to set aside a portion of your budget to pay for their services.

### **2.2.6 Screen candidates to hire for your start-up**

Screening candidates will allow you to find the most promising list of applicants from the pool of applicants you receive. Start with resume and cover letter reviews and continue with phone interviews, video interviews, skill assessments, or other tests.

Most start-ups will use at least 3-4 steps in their screening process to ensure they find the best fit possible.

### **2.2.7 Handle Interviews Effectively**

Next, set a frame for your interview process. The interview process, if well-defined, should allow you to determine if the applicant's skills, experiences, and personality fit the job requirements. During the interview, allow the candidate to introduce themselves, and ask them about their experience and education, what skills they can bring to the company, their strengths/weaknesses, and so on.

You can also give them certain problems or situations and have them offer their proposed solution to each. Also, be sure to allow them time to ask you questions as well.

### **2.2.8 Expect to compensate your employees well**

Before you can proceed with hiring, you need to figure out if you can afford to pay the people you hire. If you want skilled employees to work with your organization, you should expect to compensate them accordingly. Highly skilled and experienced employees will always want to work in well-paying positions. You don't want to skimp on salary and compensation, or you may end up hiring the wrong fit for your start-up.

Remember, start-ups are already low on funds and the price of hiring the wrong person is not worth the trouble. The cost of hiring the wrong person is much higher than hiring the right person.

### **2.2.9 Never rush the hiring process**

Regardless of the urgency, you should never rush the hiring process. If you don't take the time to bring in enough potential candidates and instead select from the first few applicants, you may end up with a poor hire and miss out on highly skilled applicants.

### **2.2.10 Hire for cultural fit**

Make sure that your new hires align with your company's values and culture. Look for candidates who share your company's mission and vision. Consider using behavioural interview questions to assess cultural fit during the hiring process.

In general, there are 8 key roles that start-ups should focus on filling immediately. These roles include the CEO (Chief Executive Officer), COO (Chief Operations Officer), product or service manager, CTO, marketing manager, sales manager, CFO (Chief Finance Officer), business development manager, and customer service representative. Each of these roles is critical to the success of the start-up and should be filled by experienced individuals who have a strong understanding of the industry.

It's important to note that while these 8 roles are critical, there are other roles that may need to be filled depending on the needs of the start-up. For example, if the start-up requires a significant amount of technical expertise, it may need to hire additional developers or engineers. Similarly, if the start-up is focused on research and development, it may need to hire a team of scientists or researchers.

Ultimately, the number of employees that a start-up should have will depend on a variety of factors. However, by focusing on filling the key roles mentioned above and hiring additional employees as needed, start-ups can set themselves up for success and achieve their goals.

### **How to Hire Employees for Start-up with No Money?**

If you are extremely low on budget, there are still ways to build a skilled team.

- i). Consider hiring interns instead of full-time employees. It's a great way to get fresh talent and a different perspective. Furthermore, you can mentor and train them to become valuable members of your team.
- ii). Recruit close friends and family members. This can be a cost-effective way of building a team that you can trust and rely on. However, it's important to ensure that they have the requisite skills and qualifications for the job.
- iii). Consider cutting back on salaries and compensation plans for your employees initially. However, be sure to communicate your plans for future growth and the potential for better compensation in the future once your start-up takes off. This can help keep your team motivated and invested in the success of your business.
- iv). Consider offering equity in your start-up as a way to attract talented individuals who are interested in the potential for long-term financial gain. This can be an effective way of building a team that is invested in the success of your business.

## **2.4 Licencing**

Starting a business in Kenya requires obtaining various permits and licences to ensure compliance with the legal and regulatory framework. These permits and licences are essential for operating legally and smoothly in the country.

Understanding the different types of permits and licences required is crucial for aspiring entrepreneurs and foreign investors to navigate the process effectively.

#### **2.4.1 Business registration**

Register your business with the Registrar of Companies for issuance of: Certificate of compliance for foreign companies; certificate of incorporation for local companies and partnerships; and certificate of registration for sole proprietorships. Business registration service is done through the official government eCitizen portal.

#### **2.4.2 Tax compliance certificate**

Obtain a Tax PIN (personal identification number) and taxpayer certificate for the company and directors from KRA (Kenya Revenue Authority).

Register with KRA to pay taxes: Corporate income, Value added tax (VAT), Pay as you earn (PAYE) and other tax obligations based on the company services such as Withholding tax, Excise duty, Customs tax, Digital service tax, Capital gains tax, Rental income, Turnover tax etc.

#### **2.4.3 Social security and Employees deductions**

Social security and employee deductions are integral components of the employment system. The key elements in Kenya are: SHIF, NSSF, NITA and AHL.

#### **2.4.4 County Business Permits**

Obtain the necessary approval for business establishment. Kenyan counties have streamlined the issuance of single business licences or unified permits. The specific permit type is determined by business location, number of employees, nature of operations and activities. A unified business permit may consolidate the following:

- Fire clearance certificate
- Advertising signage approval
- Health certificate
- Food hygiene certification
- Pest Control verification

Once an application is done, the county officials undertake a thorough review process to ensure that businesses meet all the necessary regulatory requirements.

#### **2.4.5 Trade Licences**

Ensure compliance with sector-specific regulations that apply to your business activity. Identify the specific sector/industry then apply for the corresponding licence. This can range from manufacturing, information & Communication Technology, Energy sector, Agricultural sector, Tourism sector, Mining sector, Financial Services, Import/Export, Construction etc.

#### **2.4.6 Intellectual Property and Copyright**

Protection of your intellectual Property, Copyright and Patents is more than the mere registration of business name with the Companies Registry of Kenya. Intellectual property protection is vital for safeguarding your brand, innovation or creation.

The Kenya Copyright Board (KECOBO) is responsible for administering and enforcing copyright and related rights.

#### **2.4.7 Hiring and Managing employees**

Apply and register the workplace with the Directorate of OSHA (Occupational Safety and Health Services) and be issued with the registration licence that ensures the workplace is free of hazards and complies with established standards of employees' safety. A business can register to obtain:

- Workplaces e.g. Offices, public building, farms, stores
- Plants e.g. Factories and industries

#### **2.4.8 Export Processing Zones**

Kenya's EPZ's provide significant investment opportunities for businesses focused on exports. These Zones offer a flexible ownership structure allowing 100% Kenyan ownership, 100% foreign ownership or a combination of both. EPZ companies are permitted to bring in foreign workers for training, technical and managerial positions.

#### **2.4.9 Work Permits and Passes**

Kenya has established specific regulations for the employment of foreign nationals within its borders encompassing the following key elements:

- Valid Visa (foreign workers)
- Foreign National registration (Expatriates)
- Permits (foreign nationals).
- Passes (nature of work/stay)

#### **2.4.10 Health and Environmental permits**

Obtain permits related to health or environmental concerns. These play an important role in safeguarding public health and protecting environment. These permits are mandatory for businesses or persons whose activities may impact these areas:

- Health permits: Food service establishments; business premises inspection; food service industry workers.
- Environmental licences and permits (issued by NEMA- National Environmental Management Authority): Environmental Impact Assessment licence for activities such construction, waste management and use of hazardous materials; noise permits for events; waste management licences for garbage collectors; effluent discharge permits.

#### **2.4.11 Professional licences**

 **Do you intend to start a practicing professional firm?**

Obtaining the appropriate license is important as it verifies that a person has fulfilled the required education and training standards to offer services in the respective fields.

Various professional bodies oversee different sectors in Kenya. For instance:

- Engineers Board of Kenya (EBK) for engineering firms

- Institute of Certified Public Accountants of Kenya (ICPAK) for accounting firms
- Board of Registration of Architects and Quantity Surveyors (BORAQS) for Architecture and Quantity surveying.
- Law Society of Kenya (LSK) for legal service providers.

Professional membership ensure practitioners adhere to industry standards and also provide a level of credibility for clients seeking professional services.

[Business Permits and Licences - Making Kenya's Information More Accessible](#)

## 3.0 BUSINESS MANAGEMENT

Business management is the discipline of overseeing and supervising business operations, processes, and resources to achieve organizational goals and objectives.

Business management encompasses a range of disciplines including; strategic planning, financial management, marketing, operations, human resources, information technology, communication, business intelligence and risk management. Each of these areas plays a vital role in ensuring a start-up's success:

### 3.1 Strategic Planning

Strategic planning involves setting long-term goals and defining the steps needed to achieve them. For start-ups, this means identifying a clear vision and mission, understanding the market, and developing a roadmap for growth.

**Importance:**

- **Direction and focus:** Provides a clear direction and helps prioritize resources.
- **Competitive edge:** Helps identify unique value propositions and market opportunities.
- **Risk management:** Anticipates potential challenges and prepares contingency plans.

### 3.2 Financial Management

Financial management is the process of managing and controlling a company's money. It includes budgeting, forecasting, financial analysis, **cash flow management**, risk management and reporting.

Financial management is done by accountants and financial managers. Accountants provide the financial data to help companies make decisions, while financial managers use this information to manage the organization's finances.

Sound financial management ensures that a start-up has the necessary funds to operate and grow.

**Importance:**

- **Sustainability:** Ensures the business can sustain operations and meet financial obligations.

- **Investment:** Attracts investors by demonstrating financial viability and potential for returns.
- **Decision-Making:** Provides data-driven insights for making informed business decisions.

### 3.2.1 Cash flow Management

Cash flow is the flow of money into and out of a business.

Cash inflows originate from sources like sales revenue, loans, or investments while cash outflows cover operating expenses, debt payments, and other costs. Start-ups need to maintain a balance where cash inflows consistently exceed cash outflows so they can ensure smooth operations and avoid liquidity problems. Healthy cash flow management allows start-ups to meet obligations, reinvest in the business, and sustain growth.

#### ***How can you proactively spot and fix various cash flow problems or prevent them from occurring?***

Cash flow problems can occur in start-ups for a number of reasons, including low sales, limited financial resources, or a lack of experience in managing cash flow.

Common cash flow problems faced by start-ups include:

1. **Late payments by customers** – Late-paying customers can crush a start-up's cash flow, creating a dangerous gap between delivering services and receiving payment. When clients consistently delay payments beyond agreed-upon terms, young businesses are forced to essentially provide interest-free financing while still meeting their own financial obligations.
2. **High overhead costs** – Fixed expenses like office space, utilities, equipment lease/purchase, and software subscriptions create ongoing financial obligations that must be met regardless of the business' income level. Start-ups easily fall into the trap of taking on premium office space or investing in top-tier equipment before their revenue can sustainably support such costs.
3. **Too much inventory** – excessive inventory can slacken cash inflow and lower liquidity. This may leave the business with ample cash tied in tangible assets which could otherwise generate revenue.
4. **Small profit margins** – low sales could result in small profit margins, which could make it difficult to grow and sustain your business. Decrease in profit margins without a corresponding decrease in sales can also be a sign of a cash flow problem.
5. **Rapid growth** – rapid growth can create severe cash flow challenges that catch many start-ups off guard. The "success trap" of rapid growth often requires significant upfront investments in inventory, staff, equipment, or infrastructure long before the additional revenue starts flowing in. This timing mismatch can quickly

drain available cash reserves, especially when growth accelerates faster than expected.

6. **Lack of financial cushion** – Operating without adequate cash reserves leaves start-ups dangerously exposed to market fluctuations and unexpected challenges. While many founders focus on securing investment for growth initiatives, they often underestimate the importance of maintaining a healthy cash buffer for day-to-day operations.
7. **Poor financial management practices** - Poor financial management practices can cripple a start-up's cash flow, even when the underlying business model is sound. Many founders struggle with fundamental financial practices like maintaining accurate books, reconciling accounts regularly, or implementing proper invoicing systems.
8. **Seasonal fluctuations in sales** - Seasonal sales fluctuations can create severe cash flow challenges for start-ups, particularly when they're unprepared for the natural ebbs and flows of their industry.

#### ***What are the potential dangers of poor cash flow?***

Poor cash flow can lead to several issues for a small business such as:

1. **Inability to pay suppliers:** If you can't pay your suppliers, this can lead to poor business relationships and damage to your reputation. It may also impact your ability to meet your own deadlines and contractual obligations.
2. **Late or unpaid debt repayments:** Not paying your debts on time can impact your business credit score and your ability to get credit in the future. It could also negatively affect the rates you would be offered.
3. **Missed Growth Opportunities:** A lack of cash can mean missing out on critical growth opportunities, such as investing in new technology, hiring talent, or launching a new product.
4. **Risk of Business Insolvency:** In the worst-case scenario, persistent cash flow problems can push a business toward insolvency and bankruptcy. Without sufficient funds to cover operational expenses and debts, the business may be forced to close down, leading to significant financial losses.
5. **Stress and Burnout:** Poor cash flow management isn't just bad for your business; it's bad for you. Constantly worrying about money can lead to stress and burnout, which can ultimately affect your decision-making.

#### ***What are the signs of cash flow problems?***

Some indicators that you may face issues with cash flow include:

1. **Frequent overdrafts** – if you regularly overdraw your bank account, it could mean your business is spending more than it earns.

2. **Increasing debt** – if you're using loans or credit cards to pay daily bills, your business might not be making enough money on its own.
3. **Difficulty covering operational costs** – if you're having trouble paying for things like rent, utilities, or salaries, it shows that your cash flow isn't enough to keep things running smoothly.
4. **Delayed payments to suppliers** – if you're often late paying suppliers, it can damage relationships and show that you don't have enough cash when needed.
5. **High accounts receivable** – if customers take a long time to pay, you'll have less cash available for other parts of the business.

### ***How can you monitor the health of your start-up's cash flow?***

Consider the following:

1. Hold regular reviews of financial statements and cash flow reports.
2. Use accounting software to track income and expenses in real-time.
3. Conduct monthly cash flow forecasts to anticipate budget needs.
4. Set monthly budgets to compare them to actual cash flow.

### ***How can you prevent cash flow problems?***

There are a number of ways that can help prevent cash flow problems for your business.

#### **1. Build a cash reserve**

Having a cash reserve could allow your start-up to keep functioning normally, even if your cash flow is slow. This reserve can allow you to cover expenses without resorting to loans.

Cash reserve can be built by setting aside a portion of your monthly profits.

Businesses differ but a reasonable amount might be 3-6 months' worth of profit to cushion your business as you work on improving your cash flow.

#### **2. Implement effective invoice processes**

Late payments are one of the biggest problems facing SMEs.

Implement more effective invoicing processes in order to reduce the risk of late payments.

Consider using an automated system that tracks outstanding payments or introducing incentives (such as small discounts) to encourage earlier payments.

Keep in contact with regular customers, as a good business relationship can encourage them to pay sooner rather than later.

Include a summary of payment terms in your communications closer to due dates or include a round-up in your invoices.

### **3. Manage expenses and cut unnecessary costs**

Sometimes businesses spend more than intended. This could quickly become a cash flow issue especially for start-ups with limited financing.

Review your expenses regularly in order to identify areas where you can cut costs. Eliminating non-essential expenses, negotiating better deals with suppliers, or switching to more cost-effective ones could help keep expenses within budget and improve cash flow.

### **4. Conduct cash flow forecasts**

A cash flow forecast is an estimate of future money coming in and going out of your business

Cash flow forecasts can help you budget by anticipating your future financial needs and identifying potential pitfalls. This is why good bookkeeping is essential for a start-up. If you aren't good with finances or simply don't have the time to do the bookkeeping, hire an Accountant to do it for you.

Cash flow forecasts can be used to plan for slow periods or unexpected expenses, potentially making it easier to adjust your expenses and saving strategies.

### **5. Improve inventory management**

Having too much inventory and not enough sales could tie up your start-up's money in stock and storage costs.

Consider using inventory management software to track stock levels and sales trends.

This could help you avoid overstocking or stock-outs, both of which can negatively impact cash flow.

### **6. Maintain good relationships with customers and suppliers**

Having strong relationships with suppliers could lead to significant advantages for your start-up, including better payment terms and potential discounts.

Paying suppliers on time can help strengthen relationships, fostering a positive business environment.

Similarly, building strong relationships with customers could help encourage them to pay you promptly (or early) and return to your business in the future.

Efficient and transparent communication can be essential for managing customer expectations and quickly resolving any issues that arise.

### ***How to solve cash flow problems***

Despite your best efforts and careful financial planning, cash flow problems can still occur. Consider the following ideas as ways to solve cash flow problems:

#### **1. Negotiate better payment terms with suppliers**

Talk to your suppliers about extending payment terms, which could give you more time to settle bills and ease immediate cash flow pressure.

Suppliers may be open to negotiation if you have a good payment history.

## **2. Access short-term financing options**

Consider short-term financing, such as a line of credit, to provide quick access to funds when needed.

Alternatively, invoice factoring lets you sell unpaid invoices to a third party for immediate cash.

These options can provide quick relief but should be used carefully.

## **3. Sales strategies to boost cash inflow**

Consider marketing strategies like flash sales or discounts to quickly increase cash inflow. These tactics could attract more customers and encourage faster purchases.

Check that discounts still cover costs to avoid long-term losses.

## **4. Streamline collection processes**

You could send regular payment reminders to customers and consider offering incentives for early payment.

An efficient collection system can speed up cash inflow and minimise the number of overdue invoices.

## **5. Revise pricing strategies**

Think about evaluating and adjusting your pricing strategy to ensure it reflects the value of your products or services.

Sometimes, minor price adjustments can significantly impact cash flow without deterring customers.

Analyse market trends and competitor pricing to make informed decisions.

## **6. Utilize shared services and collective knowledge to reduce costs.**

Identify the non-core business functions that can be shared with other businesses. This could include accounting and bookkeeping services, marketing and advertising, or IT support.

By pooling resources and sharing services, small businesses can reduce their overhead costs and improve their financial position.

## **7. Consider outsourcing non-core business functions to save money.**

Outsourcing non-core business functions can help small businesses and freelancers reduce costs, increase efficiency, and focus on their core competencies.

Identify which business functions are essential to your core operations and which can be outsourced.

### 3.3 Marketing and Sales

Effective marketing and sales strategies are essential for attracting and retaining customers. This involves understanding customer needs, building brand awareness, and creating effective sales channels.

#### Importance:

- **Customer Acquisition:** Attracts new customers and drives revenue growth.
- **Brand Building:** Establishes a strong brand identity and market presence.
- **Market Penetration:** Enables the business to capture and expand market share.

### 3.4 Operations Management

Operations management focuses on the efficient production and delivery of goods and services. This includes process optimization, quality control, and supply chain management.

#### Importance:

- **Efficiency:** Improves operational efficiency and reduces costs.
- **Quality:** Ensures high-quality products and services, enhancing customer satisfaction.
- **Scalability:** Builds scalable processes that can grow with the business.

### 3.5 Human Resources

Human resource management involves recruiting, training, and retaining talent. For start-ups, building a strong team is crucial for innovation and growth.

#### Importance:

- **Talent Acquisition:** Attracts skilled individuals who can drive the business forward.
- **Employee Retention:** Maintains a motivated and productive workforce.
- **Culture:** Fosters a positive organizational culture that aligns with the start-up's values and goals.

### 3.6 Technology and equipment

The role of technology in your business is almost as important as the people who are using it. You need to have the right tools, software and infrastructure for your company to operate efficiently and effectively.

#### Importance:

- **Cost saving:** Helps you save money by implementing cost-effective solutions for your firm's needs (replace expensive legacy systems with cloud-based ones).
- **Data safety:** Data is stored in the most secure way possible (by implementing firewalls, monitoring servers and backups).
- **Compatibility:** They can also make sure that your systems are not only up-to-date but also compatible with other systems used by other organizations for CRM (Customer Relationship Management).

### 3.7 Communication

Communication is a crucial component of any business, but it's especially important to keep in mind when talking about effective management. Effective communication is a two-way street: whether you are communicating with your employees or with clients and partners, it's important to make sure that everyone understands each other clearly.

#### Importance:

- **Information:** Helps exchange meaningful information, be it informing your employees of the required facts, policies, and procedures, sharing important information through business presentations, or connecting with your customers.
- **Efficient Planning:** It paves the way for proper planning and implementation of structure and order within a company. It also helps with implementing the right strategies.
- **Customer Relations:** customers are the reason why your business exists and ensuring their needs are met is essential. This can be accomplished by taking note of their feedback, conveying messages through explainer videos, informing them about your latest releases or simply showing your loyalty towards them.
- **Employee Satisfaction:** Good communication helps make your employees content, happy and motivated. Having feedback from superiors adds to their growth and being able to provide feedback to the company makes them feel respected.
- **Decision Making:** It's easier to make the right decisions when you're informed about the current situation of your company. Whether you need to recruit more managers, dissolve a team, create a new campaign or update your products/services to beat the competition, well-communicated facts lead to timely and informed decisions.
- **Alters individual's attitudes:** Organizational magazines, journals, meetings and various other forms of oral and written communication help in moulding people's attitudes.
- **Socializing:** The presence of another individual fosters communication. It is said that one cannot survive without communication.

### 3.8 Business Intelligence

Business intelligence (BI) is the process of analysing data to generate insights that can be used to improve business decisions. The goal of BI is to turn raw data into actionable information that can be used to increase revenue, reduce costs, and improve operational efficiency.

#### Importance:

- **Track performance over time and in real-time:** Business intelligence gives you the foundation to make decisions based on facts and current trends in your company.
- **Set benchmarks for performance evaluation:** Business intelligence provides metrics to track success and measure performance in various objectives.

- **Identify customer preferences and behaviour:** Business intelligence tools allow you to observe how customers interact with your brand and products, allowing you to react quickly to trends and marketing messages.
- **Improve supply chain efficiency:** Business intelligence gives you more accurate information to communicate with suppliers and distributors to keep supply chains running smoothly.
- **Faster, more accurate decision-making:** Using trusted business intelligence tools, your company can make wiser decisions with less risk because you lower the number of unknown variables.
- **Increased profitability:** Taken as a whole, these benefits of business intelligence help companies improve their performance.

### 3.9 Basic Risk & Crisis Management

Basic risk and crisis management is a vital business management tool that involves proactively identifying potential threats and vulnerabilities, analysing their impact, and developing strategies to mitigate or respond effectively to them, thereby protecting the organization's reputation, financial stability, and operational continuity in the face of unforeseen challenges or crises; essentially, it's about planning ahead to minimize negative consequences when issues arise.

 What examples of risks and crises are businesses likely to face?

#### Importance:

- **Financial stability:** By proactively addressing potential threats, businesses can minimize financial losses and protect investments.
- **Reputation protection:** Effective crisis communication can help maintain a positive image even during challenging situations.
- **Operational continuity:** Having a plan in place ensures the business can recover quickly from disruptions and continue operations.
- **Legal compliance:** Identifying and mitigating certain risks can help businesses comply with relevant regulations.
- **Improved decision-making:** Incorporating risk analysis into strategic planning allows for more informed decision-making.
- **Employee morale:** A well-prepared organization can provide employees with a sense of security and stability during a crisis.

## 4.0 BUSINESS SUSTAINABILITY

 Why do businesses fail?

 What is the engine that sustains a business?

A sustainable business can support itself and offer a profit to its owners and shareholders. For a business to develop real sustainability, it must meet its consumers' demands while balancing the needs of its employees. The larger a business gets, the

more difficult it is to attain sustainability. Yet, it's large corporations that benefit most from implementing sustainability in their company structure.

Sustainability is crucial to longevity in a business. Unsustainable businesses tend to be a drain on resources, and their owners shut them down after they fail to prove viable. Below are insights into how a business can achieve sustainability.

#### **4.1 Understand Customer need**

Make it a priority to understand the changing needs of your customers. There are many ways to talk with and, most importantly, listen to clients, no matter the level of classification. By understanding the latest issues they face and the support they need, it is possible to adapt products, services or other solutions. This strengthens customer trust, leading to sustained partnerships.

#### **4.2 Define Processes**

A crucial key to building a sustainable business is a strong foundation that is built on tried-and-true processes. Having clear-cut and defined processes can help teammates understand how to quickly approach day-to-day business activities to achieve success without constant oversight. Aside from being well-defined, processes must be adaptable to meet the dynamic needs of the modern business world. Maintain written down process manuals for reference purposes.

#### **4.3 Observe Industry Dynamics**

One key to building a sustainable business is keeping an eye on the changing dynamics of the industry. This entails observing competitors, identifying industry trends as they are happening and reacting fast. The ability and willingness to constantly adapt and adjust your business model is crucial.

#### **4.4 Innovate to Meet Customer Needs**

The key to sustainable business is continually innovating to meet the evolving nature of consumer needs. Many successful businesses with only a brick-and-mortar presence have lately pivoted to offer remote services. More pivoting is expected in mode of service delivery from automated finance management tools to phone systems.

#### **4.5 Offer A Superior Customer Experience**

In an age of demanding and empowered customers, delighting them with a superior customer experience is the one key to building a sustainable business. A fierce focus on getting to know customers better, their journeys, their routines, motivations and their unmet needs allows for organizations to build more beautiful value propositions, creating customer loyalty and long-term growth.

#### **4.6 Be Authentically You**

Authenticity is key. Always be authentically you in your dealings with your consumers, buyers and business associates. It is that trust and integrity which you bring to the table

that will not only sustain your business but also attract business growth and advancement.

#### **4.7 Prioritize Your People**

Prioritizing people and giving them a clear purpose for their work is a recipe for success. The costs associated with ensuring employees feel valued and feel like their work has meaning are extremely low relative to the benefits of doing so. With those core commitments, vast opportunities arise that can help the business reinvent itself, even if needed when faced with extreme challenges.

#### **4.8 Never Get Complacent**

One of the keys to building a sustainable business is to never get complacent. Competition makes all of us better, but sometimes when you're on top and you think you've got it all figured out, complacency may find its way into the culture of the company. It's critical to instill a sense of almost paranoia about the need to constantly improve and the pursuit of perfection.

#### **4.9 Embrace Operational Perfectionism**

Perfectionism in operational execution is essential. Start with building aggressive and yet realistic targets. Lay out the goals which, if met, will contribute massively in getting you to those targets, and figure out what the key performance indicators need to be for each such goal. Then, be absolutely relentless in meeting every single KPI, goal and target.

#### **4.10 Lead with Integrity**

The key to building a sustainable business is always about integrity. A lot of entrepreneurs crumble because their business was built on rocky ground. Decisions were made not based on their true values, but instead on what they thought others were doing and how they were doing it. Breathe your unique, natural spirit and culture into your business and watch it stand the test of time.

#### **4.11 Focus on Communication and Culture**

Communication and company culture are mission-critical to building a sustainable business. Especially in times of crisis, the quality of communication is central to how employees will evaluate culture and contribute to the overall longevity and sustainability of a business. Consider engaging health monitoring tools to measure and monitor company culture in order to support business growth.

#### **4.12 Be A Flexible Employer**

Being a flexible employer is key. Many bosses say their staff are their greatest resource and then try to shoehorn them into one-size-fits-all working patterns. A single person with an elderly relative to care for has different constraints on their time from a young couple with three small children. If you want to get the most out of your team, help

them fit work around their other priorities. Take all the resources and time needed to discover the ideal match for each role.

#### **4.13 Have A Monetization Strategy**

Have a monetization strategy from day one and focus on earning more than you spend. Very few businesses can survive by raising money and burning capital, so don't assume your business will be one of those. Build a profitable business from day one.

#### **4.14 Create Brand Loyalty**

Brand loyalty is one of the critical elements that can help sustain your business even during an economic crisis. Loyal customers trust their brands and often rely on them to unfailingly deliver their favorite products or services. Entrepreneurs can tap into this by building brand loyalty through consistent quality. Delight customers and be ethical in your business approaches.

#### **4.15 Leverage free or inexpensive marketing and advertising strategies or tools**

Because your business is just beginning its way to making good money, it is practical that you rethink expensive choices to get individuals to notice your services or products. Don't ruin your odds of getting the ROI you've set your eyes on, merely because you spent more than you ought to for that advertisement or sponsorship. As you embrace social media, you'll know that exposing your brand to a broad section of your marketplace without having to go beyond your budget is possible. Take advantage of social media marketing.

#### **4.16 Leverage technology and data-driven decision-making**

Using technology and data to inform decisions is a great way to ensure sustainable growth. By leveraging the power of automation and analytics, businesses can make more informed decisions that are tailored to their customers' needs. Additionally, collecting customer feedback and using it to develop new strategies can help create an even better customer experience, further increasing your chances for success.

Overall, leveraging technology and data-driven decision-making is a great way to ensure sustainable growth. It's important to have the right infrastructure in place, however, to make sure you're getting the most out of your efforts.

#### **4.17 Assessing Your Leadership Capabilities**

Leadership isn't one-size-fits-all, especially when it comes to growth. Leading a team of 10 requires vastly different skills than managing 100 or 1,000 employees. As your business grows, so must your leadership style and capabilities.

Self-awareness is key here. Are you ready to delegate more? Can you shift from a hands-on approach to a more strategic role? Growth often means letting go of certain responsibilities and trusting your team to take the reins especially when trusted counsel provides much needed insight.